

Some IDHs, such as Acceptable Electronics, preferred offering customised products.

N. Ramakrishnan, president and CEO, Mandate Chips and Circuits, said that by changing the focus region, business growth could be achieved. "Hitherto we had focused on the Asia-Pacific region only. However, we are now having engagements in USA and Europe also. With more customers and strong and deep business relationships with them, we are confident that we can achieve our goals," he explained.

Innovation. Innovation truly helps in growth, and many IDHs seemed to be doing just that. P.A. Martin Xavier, managing partner, Martin's Electronic Devices & Instruments (MEDII), said, "We have developed innovative designs for high-power IGBT-based static voltage stabilisers as a replacement for the current servo stabiliser."

Some, like BPL Techno Vision, are also trying to improve upon existing products in addition to building new ones. K. Gopi, chief operating officer, BPL Techno Vision, remarked, "We are introducing many new renewable energy products. Also, we are converting all our existing rechargeable lighting products into solar-enabled ones. We are also trying to create more LED-based products."

Sinha said, "Today, with the availability of a plethora of good components having a lot of in-built features along with good software support, we are in a position to design products with futuristic ideas. Of course, we don't see too much disruptiveness as the frequency of launch of new products with killing applications has gone down reasonably. Although technological advancements have been happening, most people are making the same set of products in a more advanced style by integrating new ideas."

Without innovation and technology upgrades by manufacturers, companies cannot survive in the competitive market. Xavier cited, "With day-to-day advancement in electronics, and new companies emerging in different

Key strategies for growth

1. Get the right talent pool
2. Partner with universities to catch them young and train them in-house
3. Be selective in business
4. Focus on the customers' needs
5. Achieve long-term partnerships with clients
6. Compete and collaborate with MNC centres in India to provide complementary services that will be of value to them
7. Partner with leading companies to create futuristic products based on their technologies
8. Invest in research and licence technologies that will enable faster go-to-market for customers
9. Develop new products
10. Innovate to improve existing product lines too
11. Identify and enter new markets
12. Offer fixed-cost packages and service-level agreements
13. Offer single-window solutions. In other words, be a one-stop shop for clients' design needs
14. Try to achieve success for the customer
15. Go for value-added engineering
16. Develop deep domain knowledge

dimensions, there is less room for companies to progress using old designs. New designs with better features and lower cost flood the market, making products with old designs hard to survive. This forces the manufacturers to upgrade their technology."

Single-window solutions. Most IDHs try to become a one-stop shop for their customers' needs, as this saves time and money for the customers. Sinha informed, "We are a single-window company for complete end-to-end product design solutions encompassing circuit design, register-transfer level (RTL) development, software design and certification along with mechanical casing. Dexcel's core capability lies in designing systems on a programmable chip (FPGA) with in-chip expertise (RTL-level design) and out-of-the-chip design (board-level) capabilities."

Other companies like Verismo Networks and 4Semi Technology too were providing single-window solutions to their clients.

Inforce Computing (India) went a step further and offered support even after production. "We give the end-product and support from board design, system integration, etc to support

after production. We are one of the few companies who provide support after production of the end-product to end customers," informed Premy Varghese, director-Hardware Platforms, Inforce Computing (India).

Infochips too followed single-window strategy, in addition to having a regional advantage. Naik said, "We are a one-stop shop with complete lifecycle management for ASICs. Also, we have the advantage of being in western India (Gujarat) as there are not many electronic design companies in this region."

Value-addition. Going a step beyond single-window solutions, design houses try to provide value-added engineering. It includes gathering requirements, deriving specifications from them, checking for patents that may affect the design, providing workaround solutions, etc.

Janakiraman said, "Technology-wise, customers are looking for more value-addition (through design houses bringing in their own IPs into the design) and ready-to-use solutions that can be integrated easily into their products. Customers are open to source complete products or sub-systems that can be taken to the market. Cost-effectiveness, flexibility to scale, proactive value-addition and support in go-to-market are the key drivers for customers to source from design houses."

Fixed-cost and other newer models. Another potential growth strategy is the fixed-cost model. Ravi Shankar R., CEO, Whizchip Design Technologies, said, "The customer has a fixed budget, legal framework and business model. We tailor our solutions to customers' requirements on a fixed-cost model and service-level agreement, for which there are not many players in the industry. We bring benefits to our clients by working under a fixed-cost model. It provides our clients a predictable environment in terms of both pricing and timelines."